

# KLARNA GROUP PLC

A lender wearing a checkout button, priced as BNPL

**KLAR : NYSE | Consumer Finance / Fintech / Digital Bank | 18 August 2026**

## 1 EXECUTIVE SUMMARY

|                                                                                                                                             |                                                                                                                                               |
|---------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| Share price: US\$15.84 (18 Aug 2026, intraday; -19% on the Q2 print). IPO \$40 on 10 Sep 2025                                               | Market cap: US\$6.0-7.9bn (US\$6.0bn at the 18 Aug intraday low; US\$7.85bn at the 14 Aug close, pre-print)                                   |
| 52-week range: US\$12.06 - US\$57.20 (all-time high was the 10 Sep 2025 debut)                                                              | Revenue: Q2'26 US\$1.04bn, +27%. LTM US\$3.82bn. FY25 US\$3.51bn, +25%                                                                        |
| Profitability: Q2'26 transaction margin 42.8% of revenue (+450bps); adj. op. income US\$91m; net income US\$9m. LTM GAAP net loss ~US\$198m | FY26 guidance: Revenue US\$4.08-4.16bn (CUT from >US\$4.34bn on a presentation change); GMV US\$149-151bn (cut); TMD US\$1.62-1.65bn (RAISED) |
| Diluted share count: ~378m ordinary + Class B shares                                                                                        | HQ / structure: Stockholm, Sweden. Incorporated as Klarna Group plc (England & Wales). Banking via Klarna Bank AB (Swedish licence)           |

Klarna sits at the checkout as the alternative to a credit card: it pays the merchant in full at the moment of sale, takes a 3-6% commission for lifting conversion and basket size, and then carries (or increasingly re-sells) the consumer's obligation to repay. That makes Klarna two businesses stapled together -- a two-sided commerce network that earns merchant fees, and a regulated consumer lender that earns interest, funded by a US\$12.3bn deposit base. It is the world's largest buy-now-pay-later (BNPL) provider by users and merchants (~119m active consumers, >1m retailers, ~35% global BNPL share), and since September 2025 it is the second BNPL name on a US exchange after Affirm.

The thesis is a framing dispute, not a growth story. Klarna is priced and quoted as a BNPL stock that just cut its top-line guide, yet the parts that are compounding -- interest-bearing Fair Financing, the Klarna Card, deposit-funded net interest, and a genuinely capital-light credit-distribution engine -- are the parts of a neobank, and they grew transaction-margin dollars (TMD) 42% while revenue grew 27%. The bear owns the two facts the print just delivered: management cut full-year GMV and revenue guidance, and the reported profit leans on gain-on-sale of receivables and a still-untested credit book. The bull owns the mix: the take rate and margin are rising as the business shifts from merchant-funded Pay-in-4 toward its own balance sheet and card. Which lens wins is the entire question, and today the market voted decisively for the BNPL lens.

This is an initiation for monitoring, not a rating. No price target or buy/sell call is expressed; the report maps the structure, the funding chain, the competitive set, and the specific data points that will settle the framing debate at the next few prints.

## 2 TECHNOLOGY DEEP-DIVE (PRODUCT & ECONOMIC ENGINE)

### ELI5 — What Klarna actually does

*Imagine a shop where a friend stands next to the till. When you buy a US\$100 jacket, the friend pays the shop US\$96 immediately (keeping US\$4 as a finder's fee the shop happily pays, because with the friend there you were willing to buy the jacket at all, and maybe the boots too). You now owe the friend US\$100, which you pay back in four chunks, or over a year with interest if it was a big purchase. The friend's whole business is (a) being trusted by shops to bring in buyers, and (b) guessing correctly who will pay them back. Klarna is that friend, at the scale of 119 million shoppers and a million shops, and lately the friend has also started offering you a debit card and a savings account so your money lives with them all the time.*

At an engineering level Klarna is not a payments company; it is a real-time underwriting engine wrapped in a checkout button and, increasingly, a deposit-taking bank. Three things happen in the sub-second when a

shopper picks Klarna at checkout. First, an underwriting model scores the individual transaction -- not the person once a year like a credit-card issuer, but this specific basket, at this merchant, at this moment, drawing on Klarna's own repayment history for that consumer. Second, Klarna assumes the merchant's credit and fraud risk: it pays the retailer the full ticket less commission and absorbs chargebacks and processing costs. Third, the resulting receivable is either held on Klarna's balance sheet (funded by deposits) or sold forward to an institutional buyer -- a routing decision made continuously to manage capital. The company's own framing is that it is 'spend-centric, not lend-centric': the loan is a feature of a shopping and everyday-spend relationship, not the product itself.

The revenue stack has five layers, and their relative growth is the whole investment debate. (1) Merchant commission: 3-6% of gross merchandise volume (GMV), the total value of goods bought through Klarna, paid by the retailer for conversion uplift. This funds the '0% APR' Pay-in-4 and Pay-in-30 products, which are free to the shopper. (2) Consumer interest, principally on Fair Financing -- longer-term point-of-sale (POS) instalment loans where the shopper, not the merchant, pays. (3) Card interchange and fees on the Klarna Card. (4) Net interest on the deposit float. (5) Advertising and affiliate revenue from the Klarna app and shopping network, plus gain-on-sale when receivables are sold forward. The company's headline 'take rate' (~2.7% of GMV) is low versus Affirm's (~4.3% revenue-less-transaction-cost on GMV) precisely because Klarna's mix is dominated by short-duration, merchant-funded Pay-in-4; the bull case is that the mix is shifting up-stack.

### Product portfolio and what each line competes against:

| Product line                | What it does / key specs                                                                                                                                                                                                       | Competes against                                                                 |
|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|
| Pay in Full / Pay Now       | Settles the purchase immediately, including via the acquired SOFORT bank-transfer rail. Everyday spend; no credit extended. Feeds engagement and deposits.                                                                     | Cards, PayPal, Apple Pay, Google Pay, bank transfer / account-to-account         |
| Pay in 30 (Pay Later)       | Charge-card equivalent: pay the full amount within ~30 days, no interest. Merchant-funded. Klarna's average loan duration is ~40 days.                                                                                         | Credit-card grace period, PayPal Pay Later, Afterpay                             |
| Pay in 4 (BNPL)             | Four interest-free instalments; the classic BNPL product. 0% APR to the consumer, funded by the merchant commission. Delinquency ~0.88% (Q2'25 vintage).                                                                       | Affirm Pay-in-4, Afterpay (Block), PayPal Pay in 4, Sezzle, Zip, Apple Pay Later |
| Fair Financing              | Longer-term POS instalments (roughly 6-36 months), interest-bearing, larger tickets. The growth and margin engine; mostly offered to consumers with an existing Pay-later repayment history. Higher servicing and credit cost. | Affirm monthly instalments, store cards, personal loans, credit cards            |
| Klarna Card                 | Debit + credit card with POS financing built in. 6.5m active users across 16 countries in Q2'26, up from 1.3m a year earlier. The everyday-spend and engagement wedge.                                                         | Affirm Card, Cash App Card (Block), traditional debit/credit, Revolut            |
| Klarna balance / deposits   | Deposit accounts and savings enabled by the banking licence. US\$12.3bn of deposits (Q1'26), ~90% of funding, ~270-day average duration.                                                                                       | Neobanks (Revolut, N26, Monzo, Nu), incumbent bank deposits                      |
| App, shopping network & ads | Price comparison, shopping feed, affiliate links, merchant ads; open-banking (Klarna Kosma). Monetises the 3.4m daily transactions and attention.                                                                              | Google/Amazon shopping, affiliate networks, retail-media platforms               |
| KlarnaUSD stablecoin        | USD-backed stablecoin announced for 2026 launch, positioned to cut settlement costs. Early-stage optionality, not yet in numbers.                                                                                              | PayPal PYUSD, card rails, stablecoin issuers                                     |

### Why the current cycle structurally changes the demand profile:

For a semiconductor company the analogous cycle is HBM or advanced packaging; for Klarna there are two simultaneous shifts, one on the cost line and one on the revenue mix, and both push the same direction -- toward a higher-margin, more bank-like profile. On the cost side, the artificial-intelligence (AI) cycle is doing to Klarna's operating expense what a node shrink does to cost-per-transistor. Klarna deployed an OpenAI-based assistant in 2024 that it says does the work of ~700 support agents and cut ~US\$40m of

annual cost; more importantly, it froze hiring and let attrition shrink headcount from a ~5,000-7,000 peak toward ~2,800, targeting ~2,000 by 2030. The measurable result: revenue per employee rose from roughly US\$0.3m to ~US\$1.3m since 2022, and in Q1'26 IFRS non-transaction operating expenses grew ~3% against 44% revenue growth. That is the operating-leverage engine -- revenue decoupled from headcount.

On the revenue side, the mix is migrating from the low-take-rate, merchant-funded Pay-in-4 toward interest-bearing Fair Financing and the Klarna Card, which carry a structurally higher take rate even though they also carry higher servicing and credit cost. The intensity shift is visible in Q2'26: transaction-margin dollars grew 42% versus 27% revenue growth, transaction margin as a percentage of revenue expanded 450 basis points to 42.8%, and US transaction-margin dollars grew 126% as Fair Financing scaled in the largest market. In Q1'26 Fair Financing GMV grew ~138% year on year. The bear's counter is embedded in the same data: processing and servicing costs rose 62% year on year in Q1, outpacing revenue, because the up-stack products are more expensive to run and carry credit risk that a merchant-funded Pay-in-4 loan does not. The cycle raises the ceiling on margin and the floor on risk at the same time.

## 3

## SUPPLY CHAIN MAPPING (FUNDING, RISK OFFTAKE & DISTRIBUTION RAILS)

### ELI5 — A lender's 'supply chain'

*A chip company's supply chain is silicon wafers in, chips out. A lender's is money in, loans out. Klarna's raw material is cheap money -- the US\$12.3bn that customers park in deposit accounts, which Klarna can lend at a much higher rate. Its 'factory equipment' is the banking licence that lets it hold those deposits at all. And its clever trick is that instead of keeping every loan on its own shelf, it sells the finished loans to big investors (pension funds, credit funds) who want the steady income -- freeing Klarna to make even more loans without needing more of its own capital. The 'distribution' end is the network of checkout buttons and card rails that put Klarna in front of shoppers. Break any of these three -- cheap deposits, willing loan-buyers, checkout placement -- and the machine slows.*

Klarna's competitive core is its funding stack, and the banking licence is the single most important asset in the company. Because Klarna Bank AB holds a full Swedish banking licence (supervised by Finansinspektionen, passported across the European Union via a Lithuanian licence), it funds itself primarily with consumer deposits rather than wholesale debt: as of Q1'26, US\$12.3bn of deposits, ~90% of total funding, ~91% consumer, ~270-day average duration. This is materially cheaper and more stable than the warehouse-and-securitization funding that unlicensed BNPL peers (Affirm, Sezzle) must rely on. The chief financial officer has repeatedly called the licence 'one of our biggest competitive advantages.'

The second layer is credit-risk distribution -- the capital-efficiency programme that lets Klarna grow loan volume far faster than its own equity. Klarna sells receivables forward to institutional buyers and executes Significant Risk Transfers (SRTs, a regulated-bank tool that offloads the credit risk on a loan pool to investors in exchange for regular payments), which transfer credit exposure, reduce balance-sheet intensity, and pull revenue forward via gain-on-sale. In Q1'26 alone Klarna offloaded US\$1.2bn of Fair Financing receivables for a US\$57m gain on sale. This is both the growth enabler and a quality-of-earnings flag: gain-on-sale is real cash but front-loads profit, and the fair-value presentation of these sales is what drove the FY26 revenue-guidance cut even as TMD guidance rose.

### Critical inputs, suppliers and single-source exposures:

| Input / dependency             | Provider(s)                                                      | Single-source?   | Risk note                                                                                                              |
|--------------------------------|------------------------------------------------------------------|------------------|------------------------------------------------------------------------------------------------------------------------|
| Deposit funding (raw material) | Retail depositors across 14 EU jurisdictions, via Klarna Bank AB | No (diversified) | Cheapest input; depends on the banking licence and depositor trust. Deposit flight in a stress event is the tail risk. |

| Input / dependency                             | Provider(s)                                                                                                               | Single-source?                     | Risk note                                                                                                                                  |
|------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| Banking licence (the 'fab')                    | Swedish FSA (Finansinspektionen); Lithuanian passport; US application (Utah ILC, 'Klarna Bank USA', filed Jul 2026)       | Yes (regulator-granted)            | Existential and non-substitutable. A US charter would deepen the moat; a licence action anywhere is a step-function risk.                  |
| Forward-flow / whole-loan buyers               | Elliott (US\$2bn facility, up to US\$17bn US loans); Nelnet (up to US\$26bn Pay-in-4); Germany facility (EUR900m, EUR5bn) | Concentrated                       | Off-balance-sheet capacity depends on a handful of large buyers; appetite is pro-cyclical and can withdraw in a downturn.                  |
| Significant Risk Transfer (SRT) counterparties | Varde Partners (US\$1.7bn, 6th SRT); a repeat investor (US\$518m + prior); Swedish pool (~US\$516m)                       | Concentrated                       | Same pro-cyclicality; pricing widens exactly when Klarna most needs capital relief.                                                        |
| Distribution rails (acquirers/PSPs)            | Adyen, Stripe, Worldpay; Apple Pay, Google Pay; JPMorgan Payments (integration Aug 2026)                                  | No (multi-homed)                   | Pre-integration with every major acquirer lowers merchant onboarding friction -- but also lowers switching costs, so no rail is exclusive. |
| Anchor merchants                               | Walmart (via OnePay), Uber, H&M, Saks, Sephora, Macy's, Ikea, Expedia, Nike, Airbnb, Southwest, Flix                      | No, but concentrated marquee names | The Walmart/OnePay win was taken from Affirm; conversely a marquee defection is a headline risk and a share-shift signal.                  |
| AI models & data infrastructure                | OpenAI (assistant, internal tooling); Neo4j graph database; Cursor (internal dev)                                         | OpenAI ~single-source for GenAI    | The operating-leverage story is levered to one model vendor; pricing, availability, or a capability gap vs. rivals is a margin input.      |

Geographic and cost sensitivities. The deposit base is overwhelmingly European (long-term fixed deposits in Europe funding a global balance sheet), while the fastest-growing lending is in the US -- a structural currency and duration mismatch that management manages actively but which shows up as foreign-exchange noise (the FY26 GMV guide cut cited ~US\$600m of FX headwind alongside a softer German consumer). The dominant margin sensitivity is credit: provisions ran at 0.52% of GMV in Q2'26 (a third consecutive quarterly decline) and funding costs at 0.47% of GMV. Those are benign, cycle-low numbers. The honest caveat, made by more than one analyst, is that Klarna's book has not been stress-tested through a full consumer downturn; today's low loss rates could prove a poor predictor of loss rates under stress, and provisions are the single line most able to swing the margin.

## 4 COMPETITIVE LANDSCAPE

### ELI5 — The shape of the fight

*Picture two big players who mirror each other. Klarna is a wide, shallow river: enormous number of small, short, mostly free 'pay in four' payments across the world, plus a bank attached. Affirm is a narrow, deep channel: fewer but bigger, longer, interest-bearing US loans, and it keeps a much larger slice of each dollar. Behind them stand two giants who could flood the field -- PayPal (already at every checkout) and Block's Afterpay (already in every Cash App) -- plus Apple and Google, who own the phone the checkout lives on. Klarna is biggest by headcount of users; it is not biggest by profit per dollar.*

| Company                 | HQ            | Scale (revenue / GMV)                                 | Share / reach                                              | Key differentiator                                                                                                                | Weakness vs. Klarna                                                                  |
|-------------------------|---------------|-------------------------------------------------------|------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|
| Klarna (KLAR) - subject | Stockholm     | Rev ~US\$3.8bn LTM; GMV ~US\$128bn FY25               | ~35% global BNPL; ~119m users; >1m merchants; 26 countries | Banking licence + deposit funding; largest global network; broadest product (BNPL + card + bank)                                  | --                                                                                   |
| Affirm (AFRM)           | San Francisco | Rev ~US\$1.04bn/qr (FQ3'26, +33%); GMV ~US\$11.6bn/qr | ~1/3 of US BNPL value; ~27m consumers; US/Canada-centric   | Higher take rate (~4.3% RLTC/GMV); no late fees; longer-duration installments; Amazon (~24% GMV), Shopify, Walmart-card retention | ~10x fewer users; no deposit funding (must fund via warehouses/ABS); thin outside US |

| Company                | HQ                        | Scale (revenue / GMV)                                       | Share / reach                                         | Key differentiator                                                                           | Weakness vs. Klarna                                                                                    |
|------------------------|---------------------------|-------------------------------------------------------------|-------------------------------------------------------|----------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|
| Block / Afterpay (XYZ) | Oakland                   | BNPL GMV ~US\$9.1bn/qtr (+17%); BNPL gross profit ~US\$268m | Embedded in Cash App (large US base) + Afterpay AU/US | Distribution via Cash App + Afterpay; post-purchase BNPL; own card ecosystem                 | BNPL is a sub-segment of a diversified firm; no European bank; less global merchant depth              |
| PayPal (PYPL)          | San Jose                  | TPV ~US\$443bn/qtr; 438m accounts; rev ~US\$8bn/qtr         | Ubiquitous US/global checkout; Pay Later bolted on    | Scale, trust, two-sided wallet already installed at checkout; less BNPL-specific credit risk | BNPL not the core; lower BNPL credit/underwriting sophistication; in active sale talks (Stripe/Advent) |
| Sezzle (SEZL)          | Minneapolis               | Smaller-cap pure-play; stock +92% YTD                       | US niche; financial-education tilt                    | Nimble, subscription-led, strong 2026 share-price momentum                                   | Sub-scale; no banking licence; narrow product and geography                                            |
| Apple / Google         | Cupertino / Mountain View | n/a (platform owners)                                       | Billions of devices; Pay integrated natively          | Own the phone and the wallet; can route BNPL demand (Apple now partners Affirm)              | Not yet a full lender/bank; regulatory scrutiny; but a structural distribution threat to all BNPL      |

Klarna's moat is a stack, not a single wall. The durable pieces are: (1) the banking licence and deposit base, which give a funding-cost advantage that unlicensed peers structurally cannot replicate; (2) two decades and half a trillion dollars of proprietary repayment data feeding transaction-level underwriting, which improves as volume grows (a data flywheel); (3) the two-sided network -- >1m merchants and ~119m consumers -- with the associated distribution and marketing leverage; and (4) a credit-distribution machine (forward flow + SRT) that few consumer lenders can operate at this scale. The everyday-spend card and deposit relationship raise switching costs from 'a checkout choice' toward 'my primary money app.'

The most credible threat to the moat is not another BNPL pure-play; it is disintermediation at the point of distribution. Because Klarna is pre-integrated through the same acquirers (Adyen, Stripe, Worldpay) as everyone else and no acquirer is exclusive, merchant switching costs are low -- Klarna won Walmart from Affirm precisely because the rails are shared. The sharper version of the threat is Apple and Google: they own the device and the native wallet, and can steer BNPL demand to whichever provider they choose (Apple, having wound down its in-house Pay Later, now routes to Affirm). If the checkout decision migrates into the operating-system wallet, Klarna's consumer-brand and network advantages compress toward a commoditised balance sheet -- which is exactly the 'priced as BNPL' risk the stock is currently living.

## 5 MANAGEMENT & GOVERNANCE

Sebastian Siemiatkowski, co-founder and chief executive officer (CEO), has run Klarna since founding it in 2005 -- a ~20-year tenure that is unusually long for a founder-CEO and gives him deep credibility with the board and major shareholders. Stockholm School of Economics background; the public face of the company and the loudest fintech voice on AI. His track record is a genuine turnaround: after Klarna took an ~85% valuation cut in a 2022 down-round (from a US\$45.6bn 2021 peak to US\$6.7bn), he cut costs, tightened underwriting, froze hiring, and delivered the company's first annual net profit in 2024 before the September 2025 IPO. That is a demonstrated ability to reset a cost base under pressure.

The same leader is also the report's chief governance caveat on credibility. Siemiatkowski's AI messaging has been aggressive and, in at least one instance, walked back: after claiming the OpenAI assistant did the work of 700 agents and using an AI deepfake of himself to present earnings, he conceded in mid-2025 that Klarna had cut human support too deeply and reopened hiring for premium roles. He has said publicly that 'AI can already do all our jobs, my own included.' For an investor the read is two-edged: the operating-leverage results are real and showing up in revenue-per-employee and the opex line, but management's promotional tendency means guidance and productivity claims warrant a discount and independent verification. On guidance accuracy specifically, the post-IPO track record is short -- the company beat Q1'26 and Q2'26 on the printed lines but simultaneously cut the full-year GMV and revenue

framework at the Q2 print, so the 'beats-but-cuts' pattern is the thing to monitor rather than a clean beat history.

Capital allocation. Klarna does not pay a dividend and is not buying back stock; capital is going into US lending growth, the card, and the deposit franchise, with the SRT/forward-flow programme used to recycle capital rather than raise equity. The IPO itself raised only ~US\$222m of primary capital (most of the US\$1.37bn was selling shareholders), so it was a liquidity event for early backers (Sequoia, SoftBank, others) more than a growth raise. Notable recent corporate moves: applied for a US banking licence (Utah industrial loan company, 'Klarna Bank USA', July 2026); integrated with JPMorgan Payments (August 2026); announced a KlarnaUSD stablecoin for 2026.

Governance flags. Klarna uses a dual-class structure: Class A ordinary shares trade on the NYSE with one vote each, while pre-IPO Class B shares carry ten votes each. Crucially, no single insider controls the company -- Siemiatkowski holds under ~7% of the economics and ~7.6% of the vote (a stake worth roughly US\$0.5bn near current prices), so his influence runs through the CEO role and board relationships rather than a control block. The largest holder is Sequoia Capital (~20% of shares); co-founder Victor Jacobsson and Heartland A/S are also large. The chair is Michael Moritz (former Sequoia), with Sequoia's Andrew Reed and Heartland CEO Lise Kaae on the board -- a board weighted toward the largest financial sponsors. The freshest governance flag is management turnover: at the Q2'26 print, Klarna disclosed that both the chief financial officer (Niclas Neglen) and the chief marketing officer (David Sandstrom) plan to step down in early 2027. Losing the architect of the capital-efficiency/funding strategy at the moment that strategy is central to the equity story is a specific, monitorable risk.

## 6 FINANCIAL TRAJECTORY

### Recent trajectory (USD; Klarna reports in USD post-IPO):

| Period         | Revenue           | GMV                | Transaction margin     | Adj. op. income                | Net income (GAAP)                  |
|----------------|-------------------|--------------------|------------------------|--------------------------------|------------------------------------|
| FY2024         | ~US\$2.81bn       | ~US\$105bn         | n/d                    | positive (first annual profit) | ~US\$21m (first annual net profit) |
| FY2025         | US\$3.51bn (+25%) | US\$127.9bn (+22%) | n/d                    | positive                       | -US\$294m (SBC + credit build)     |
| Q1'26          | US\$1.01bn (+44%) | US\$33.7bn (+33%)  | ~38% of rev            | US\$68m (vs US\$3m PY)         | ~US\$1m (vs -US\$99m PY)           |
| Q2'26          | US\$1.04bn (+27%) | ~US\$37bn          | 42.8% of rev (+450bps) | US\$91m (vs US\$29m PY)        | US\$9m (positive)                  |
| LTM (to Q2'26) | US\$3.82bn        | n/d                | rising                 | positive & rising              | ~US\$198m (LPS<br>~US\$0.54)       |

Read the table with two cautions. First, the year-on-year revenue growth rates (notably Q1'26 at +44%) are inflated by a fair-value presentation of receivable sales; the cleaner read on the business is transaction-margin dollars, which grew 42-44% and are less distorted. Second, GAAP net income is still negative on a trailing basis (~US\$198m LTM, driven by share-based compensation and credit provisioning) even though the adjusted operating line and quarterly net income have turned positive -- the company guides to full-year EPS turning positive by FY2027, not FY2026.

### Guidance and medium-term targets:

- FY2026 revenue: US\$4.08-4.16bn, CUT from a prior '>US\$4.34bn' framing (versus ~US\$4.42bn consensus) -- management attributes most of the cut to a fair-value presentation change, not lost demand.
- FY2026 GMV: US\$149-151bn, trimmed from '>US\$155bn' on a softer German consumer and ~US\$600m of FX headwind -- this piece is a real demand/FX signal, not just accounting.



- FY2026 transaction-margin dollars: RAISED to US\$1.62-1.65bn (~1.09% of GMV) from ~US\$1.04bn guided in May -- the profitability trajectory improved even as the top-line framing worsened.
- Q3'26 adjusted operating income: deliberately low at US\$5-15m, reflecting up-front investment in peak-season (holiday) launches -- a guided air-pocket, not a deterioration.
- EPS: guided to turn positive for the full year by FY2027.

### Balance-sheet flags:

- Funding: US\$12.3bn customer deposits (~90% of funding), the structural advantage; supplemented by forward-flow and SRT capacity that moves credit risk off balance sheet.
- Liquidity: ~US\$4.7bn cash against ~US\$1.4bn debt (net cash ~US\$3.3bn, ~US\$8.7/share of net cash); current ratio ~25x. A well-capitalised balance sheet, not a solvency question.
- Dilution/SBC: share-based compensation is a real drag on GAAP earnings and a reason adjusted and GAAP figures diverge; share count has grown ~2% year on year.
- Quality-of-earnings watch item: gain-on-sale of receivables (e.g. US\$57m in Q1'26) is genuine cash but front-loads profit; monitor how much of each quarter's profit is gain-on-sale versus recurring transaction margin.
- Short interest ~8.7% of shares (~33m shares) -- a meaningful, but not extreme, bearish position that can amplify moves in both directions.

## 7 NEAR-TERM CATALYSTS & RISKS

| Catalyst                                       | Timing           | Impact                                                                                                                                                                                                 | Probability          |
|------------------------------------------------|------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|
| Q3'26 print (peak-season set-up)               | ~Nov 2026        | Guided adj. op. income is deliberately low (US\$5-15m); the tell is whether GMV/TMD re-accelerate into holiday and whether the German softness persists.                                               | High (event certain) |
| US banking licence (Utah ILC) decision         | 2026-27          | A US charter would let Klarna fund US lending with US deposits, deepening the moat. Note: Needham argues the accretion is smaller for Klarna than for peers because it already has EU deposit funding. | Medium               |
| Capital-efficiency deals (forward flow / SRT)  | Ongoing          | Each facility (Elliott US\$17bn, Varde US\$1.7bn, Germany EUR900m, etc.) expands off-balance-sheet lending capacity and books gain-on-sale; a withdrawal of buyer appetite is the negative case.       | High (recurring)     |
| KlarnaUSD stablecoin launch                    | 2026             | Optionality on settlement cost and a new rail; immaterial to near-term numbers, narrative-relevant.                                                                                                    | Medium               |
| Marquee merchant wins/losses                   | Ongoing          | Walmart/OnePay, Southwest, JPMorgan Payments integration add distribution; a defection to Affirm/PayPal would signal share loss.                                                                       | Medium               |
| UK FCA BNPL regulation (effective 15 Jul 2026) | In force         | Formal regulation of BNPL raises compliance cost and affordability checks across the sector; Klarna's licence makes it relatively well-prepared but it is a margin/velocity headwind.                  | High (in force)      |
| Lock-up / selling-shareholder flow             | Post-IPO windows | Sequoia/SoftBank and other early holders own the bulk of shares; secondary supply can cap the stock independent of fundamentals.                                                                       | Medium               |

### Key risks, each specific and actionable:

Credit normalisation risk. Klarna's provisions (0.52% of GMV) and delinquencies are at cycle lows and have declined three quarters running, but the Fair Financing book that is driving margin is younger, longer-duration, and higher-loss by design (Affirm's own longer-term installment loans track toward ~3.5% ultimate net charge-offs versus <1% on Pay-in-4). The book has not been through a full US consumer downturn. If unemployment rises and the US Fair Financing vintages season into a weaker consumer,



provisions -- the single most sensitive line in the model -- could climb faster than the market expects, and the margin expansion that is the entire bull case reverses.

Distribution disintermediation risk (Apple/Google, and shared rails). Because Klarna is pre-integrated through the same acquirers as every competitor and no rail is exclusive, its merchant relationships are low-switching-cost; it won Walmart from Affirm on exactly this dynamic and can lose names the same way. The larger version is the operating-system wallet: Apple and Google can route BNPL demand natively (Apple already partners Affirm after shuttering its own Pay Later), which would commoditise Klarna's consumer-brand and network edge and validate the market's 'priced as BNPL' de-rating.

Guidance-credibility and mix-accounting risk. The Q2'26 pattern -- beat the quarter, cut the full-year top-line -- is the specific risk to sentiment. Because reported revenue is now sensitive to the fair-value presentation of receivable sales and to gain-on-sale timing, the top line has become a noisier signal, and the market punished the guide cut (-19% on the day) despite a raised profit framework. Until investors trust transaction-margin dollars as the primary metric, the stock is hostage to a revenue line that management itself is re-presenting.

Forward-flow / SRT dependency risk. The capital-light growth story requires a continuous bid from institutional loan-buyers (Elliott, Varde, and warehouse lenders). That appetite is pro-cyclical: in a credit stress it thins and re-prices exactly when Klarna most needs capital relief, which would force more receivables back onto the balance sheet, consume capital, and slow origination growth. The departure of CFO Niclas Neglen -- the public architect of this programme -- in early 2027 sharpens the key-person element of this risk.

Competitive-economics risk from Affirm specifically. Affirm keeps ~3x more revenue per dollar of GMV, is growing US GMV faster (mid-30s percent), owns Amazon (~24% of its GMV) and deep US installment share, and is now GAAP-profitable with a much higher-rated stock. As Klarna pushes up-stack into interest-bearing US financing -- Affirm's home turf -- it competes directly against a better-capitalised US underwriter with superior unit economics, which caps how much take-rate expansion Klarna can actually harvest in its most important growth market.

## 8 VALUATION CONTEXT

Klarna is the cheapest name in its own comp set on a price-to-sales basis and the only one without a clean earnings multiple, because GAAP earnings are still negative on a trailing basis. Affirm is the natural valuation anchor -- the closest pure-play and the US-listed benchmark investors mark Klarna against -- and it trades at several times Klarna's revenue multiple despite comparable revenue scale. That gap is the crux: is Klarna cheap because the market misframes a deposit-funded neobank as a low-margin BNPL lender, or correctly cheap because its take rate, US positioning, and earnings quality are genuinely inferior to Affirm's? Market caps below are approximate and move intraday; treat them as orders of magnitude, cross-checked in the Verification Log.

| Company       | Mkt cap (approx.) | Revenue (LTM) | P/E             | EV/EBITDA                 | Rev growth       | End-market                                                        |
|---------------|-------------------|---------------|-----------------|---------------------------|------------------|-------------------------------------------------------------------|
| Klarna (KLAR) | US\$6.0-7.9bn     | ~US\$3.8bn    | n/m (GAAP loss) | n/m                       | ~25-27%          | Global BNPL + card + deposits; EU-funded, US-growth               |
| Affirm (AFRM) | ~US\$24bn         | ~US\$3.5bn    | ~30x fwd        | high (recent GAAP profit) | ~30%+            | US/Canada installments; Amazon/Shopify; higher take rate          |
| PayPal (PYPL) | ~US\$58-60bn      | ~US\$32bn     | ~13-15x         | ~10-12x                   | low-single digit | Global wallet/checkout at scale; Pay Later bolt-on; in sale talks |

| Company                | Mkt cap (approx.) | Revenue (LTM)                      | P/E             | EV/EBITDA  | Rev growth          | End-market                              |
|------------------------|-------------------|------------------------------------|-----------------|------------|---------------------|-----------------------------------------|
| Block / Afterpay (XYZ) | ~US\$48-50bn      | ~US\$24bn (gross profit ~US\$10bn) | ~high-teens/20x | ~mid-teens | mid-single to teens | Cash App + Afterpay; BNPL a sub-segment |

Bull case. Klarna is 'priced as BNPL and should trade as a neobank.' The compounding engine -- interest-bearing Fair Financing, a card at 6.5m users and rising, deposit-funded net interest, and 126% US transaction-margin-dollar growth -- is bank-like and under-appreciated inside a headline revenue line distorted by receivable-sale accounting. Transaction margin is expanding 450bps a year, opex is decoupled from revenue via AI, and the funding-cost advantage from the deposit base is structural. If provisions stay benign and the US financing book scales, the market re-rates the name off transaction-margin dollars (guided US\$1.62-1.65bn and rising) rather than a re-presented top line, and a mid-single-digit price-to-sales multiple on a growing, deposit-funded lender looks too low versus Affirm's mid-single-digit-to-high multiple. A US banking charter and continued gain-on-sale capacity are the accelerants.

Bear case. Klarna is correctly cheap. The FY26 GMV and revenue guides were just cut; the German consumer is softening; Affirm keeps ~3x more revenue per GMV dollar and is winning the profitable US installment market Klarna is only now entering; and the reported profit leans on gain-on-sale and a credit book that has never seen a US downturn. The de-rating triggers are concrete: a rise in provisions as US Fair Financing seasons, a thinning of forward-flow/SRT buyer appetite that forces loans back on balance sheet, a marquee merchant defection, or Apple/Google routing BNPL demand natively. Add the CFO and CMO departures in early 2027 and a dual-class structure controlled by financial sponsors with lock-up supply to sell, and the market's refusal to pay a neobank multiple for a re-presented top line is defensible rather than a mistake.

## 9 WHAT MOVES IT NEXT -- EARNINGS SIGNAL MAP

### ELI5 — Why this section exists

*You cannot watch every line of every company at every earnings date. This table strips each name down to the single number that will actually move the stock next time it reports, and how many days away that is, so you can point your attention at the one print that matters most for a portfolio decision.*

| Company              | Next earnings         | Days away | The one metric                                                                                                                       | Why it matters                                                                                                                                                                                                                  |
|----------------------|-----------------------|-----------|--------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Klarna (KLAR)</b> | ~Nov 2026 (Q3) (est.) | ~90 days  | US Fair Financing transaction-margin dollars AND provisions as a % of GMV holding below ~0.55% while GMV re-accelerates into holiday | The bull case IS the up-stack margin mix; a provision uptick or a second GMV cut converts the 'priced as BNPL' de-rating into the correct call. TMD, not the re-presented revenue line, is the metric that settles the framing. |
| <b>Affirm (AFRM)</b> | 27 Aug 2026 (FQ4)     | ~9 days   | Revenue-less-transaction-cost (RLTC) as a % of GMV vs. the 3-4% long-term target, and FY27 GMV guide                                 | Affirm is Klarna's valuation anchor and its direct competitor in US installments. A strong Affirm print reinforces that the profitable US market belongs to Affirm; a stumble reopens room for Klarna's US push.                |

Focus first on Affirm on 27 August, not because Affirm is the position but because it prices Klarna: it reports nine days out and its RLTC-margin and US GMV set the bar Klarna will be measured against when Klarna reports its own US Fair Financing economics in November. If Affirm shows the US installment market getting more competitive on price, that is a direct negative read-through to the single line (US transaction-margin dollars) that Klarna's entire bull case rests on.

Read-across to existing coverage. Klarna is a live, high-frequency read on two things already in the book. First, US consumer-credit health: provisions and delinquencies on ~119m consumers are a leading indicator for consumer-discretionary names -- a deterioration in Klarna's loss rates would be an early negative for Grindr (GRND) and other CONS exposures before it shows in their own spend data. Second, AI operating leverage in services: Klarna's revenue-per-employee up ~4x and opex decoupled from revenue is the cleanest large-cap proof point for the AI-cost-out thesis, which is exactly the debate at the centre of the

Intuit (INTU) initiation -- read Klarna's opex decoupling as corroborating evidence that AI can compress a software/services cost base, while remembering Klarna itself had to walk back the most aggressive version of that claim.

## A VERIFICATION LOG

Two-phase check (generate, then verify). Company-level claims graded CLEAN (cross-checked, current), EST. (estimate/derived/directional), or FLAGGED (sources conflict or figure is presentation-sensitive). Verification date: 18 August 2026.

| Item                          | Status  | Note                                                                                                                                                                                                                                                                                     |
|-------------------------------|---------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| KLAR listing, IPO price/date  | CLEAN   | NYSE: KLAR, IPO 10 Sep 2025 at US\$40; Klarna Group plc (England & Wales), banking via Klarna Bank AB (Sweden). Multiple primary sources incl. company IR and prospectus.                                                                                                                |
| KLAR share price / market cap | FLAGGED | US\$15.84 intraday on 18 Aug (-19% on the Q2 print); US\$7.85bn market cap on 14 Aug (MacroTrends) pre-print. Range US\$6.0-7.9bn shown to span the same-day move. ~378m shares (stockanalysis.com).                                                                                     |
| Q2'26 results                 | CLEAN   | Revenue US\$1.04bn (+27%), TMD US\$446m (+42%), transaction margin 42.8% of rev, adj. op. income US\$91m, net income US\$9m. Beat consensus (~US\$996m rev, -US\$0.06 EPS). Reported 18 Aug 2026.                                                                                        |
| FY26 guidance                 | FLAGGED | Revenue cut to US\$4.08-4.16bn (from >US\$4.34bn) largely on a fair-value presentation change; GMV cut to US\$149-151bn on German softness + ~US\$600m FX; TMD RAISED to US\$1.62-1.65bn. The revenue cut is partly accounting, not demand.                                              |
| FY25 / LTM financials         | CLEAN   | FY25 revenue US\$3.51bn (+25%), GMV US\$127.9bn (+22%), net loss ~US\$294m. LTM revenue US\$3.82bn, net loss ~US\$198m, LPS ~-US\$0.54 (stockanalysis.com / S&P).                                                                                                                        |
| Deposits / funding mix        | CLEAN   | US\$12.3bn deposits, ~90% of funding, ~270-day duration (Q1'26 release + earnings-call transcript). Cash ~US\$4.7bn, debt ~US\$1.4bn.                                                                                                                                                    |
| Capital-efficiency programme  | CLEAN   | Elliott US\$2bn facility / up to US\$17bn US loans; Varde US\$1.7bn SRT (6th); Germany EUR900m / EUR5bn; US\$518m SRT / US\$12bn; Nelnet up to US\$26bn Pay-in-4. Company press releases + Business Wire.                                                                                |
| Governance / ownership        | EST.    | Dual-class (Class A 1 vote, Class B 10 votes). Siemiatkowski ~7% economics / ~7.6% vote; Sequoia ~20%; chair Michael Moritz. CFO Neglen and CMO Sandstrom to depart early 2027. Ownership percentages are pre-/near-IPO estimates; confirm against a current beneficial-ownership table. |
| Headcount / AI claims         | EST.    | Peak ~5,000-7,000 to ~2,800; ~2,000 target by 2030; rev/employee ~US\$0.3m to ~US\$1.3m; '700 agents' assistant. Management figures, promotional in tone; the May-2025 partial walk-back on support hiring is documented.                                                                |
| Peer market caps (comp table) | EST.    | AFRM ~US\$24bn, PYPL ~US\$58-60bn, XYZ ~US\$48-50bn are approximate and intraday-sensitive; PYPL reportedly in sale talks (Stripe/Advent) near US\$60.5/sh. Use as orders of magnitude.                                                                                                  |
| Global BNPL share ~35%        | EST.    | Vendor/industry estimate (Business of Apps, Chargeflow); directional. Global BNPL GMV ~US\$560bn (2025).                                                                                                                                                                                 |

## B ACRONYM GLOSSARY

| Acronym | Full name / meaning                                                                                                 |
|---------|---------------------------------------------------------------------------------------------------------------------|
| BNPL    | Buy Now, Pay Later -- short-term instalment credit offered at checkout                                              |
| GMV     | Gross Merchandise Volume -- total value of goods transacted through the platform                                    |
| TMD     | Transaction-Margin Dollars -- revenue less transaction costs (processing/servicing, credit provisions, funding)     |
| RLTC    | Revenue Less Transaction Costs -- Affirm's equivalent unit-economics metric                                         |
| SRT     | Significant (Synthetic) Risk Transfer -- a regulated-bank tool that offloads a loan pool's credit risk to investors |
| POS     | Point Of Sale -- the checkout moment; POS instalments = financing originated at checkout                            |
| APR     | Annual Percentage Rate -- annualised cost of credit; '0% APR' = interest-free to the consumer                       |

| Acronym         | Full name / meaning                                                                                  |
|-----------------|------------------------------------------------------------------------------------------------------|
| PSP             | Payment Service Provider / acquirer -- e.g. Adyen, Stripe, Worldpay -- that routes checkout payments |
| ILC             | Industrial Loan Company -- a US (Utah) bank charter Klarna has applied for ('Klarna Bank USA')       |
| FCA             | Financial Conduct Authority -- UK regulator; brought BNPL under formal regulation from 15 Jul 2026   |
| FX              | Foreign Exchange -- currency-translation effects on reported figures                                 |
| SBC             | Share-Based Compensation -- equity pay; a non-cash drag on GAAP earnings                             |
| CEO / CFO / CMO | Chief Executive / Financial / Marketing Officer                                                      |
| AI              | Artificial Intelligence                                                                              |
| n/m             | Not meaningful (e.g. a P/E on negative earnings)                                                     |

## C DISCLAIMER

This document is internal buy-side research prepared for the portfolio's own use. It is not investment advice, an offer, or a solicitation, and expresses no price target or buy/sell recommendation. Klarna reports in US dollars; figures are drawn from company filings, earnings releases and call transcripts, and third-party financial-data aggregators, and several are presentation-sensitive or intraday-variable as noted in the Verification Log. Market caps, ownership percentages and peer figures are approximate and must be independently confirmed before any position is taken. The author may hold no position; verify all data against primary sources.